



When the bubble bursts

Economic bubbles form when there is a rush to buy shares in businesses producing a particular product or service. The market becomes overheated and investors begin to pull out, the bubble bursts, and prices fall dramatically.



TULIPOMANIA

In the 1630s, the Dutch middle classes went crazy over tulips, creating the first known economic bubble. It began when tulips from Turkey, with their vibrant colors, were found to thrive in Dutch gardens. Quickly, they became the must-have item for every well-to-do family, and bulbs were changing hands for sky-high prices. Then one day, a buyer refused to pay the price for a bulb at auction, and the tulip bubble burst and fortunes were lost.